

Michigan Disclosure Codes and What They Mean

Occupational Code Section

§339.22333

If a material fact is known, it must be disclosed. Disciplinary action can be brought against a licensee for being aware of and not disclosing a material fact. Disciplinary action can't be brought against a licensee for disclosing a material fact, even if the buyer and seller aren't happy that the disclosure was made. This doesn't mean disclosing the client's confidential information, such as a seller's motivation to sell or a buyer's motivation to buy.

§339.22319

If an individual sells real estate as their primary job, they must be a licensed real estate professional. Primary job, in this case, is defined as:

- Selling five or more properties within a 12-month period
- Claiming real estate sales as a primary job
- Devoting more than 50% of work hours (or more than 15 hours a week) to real estate within any six-month period.

A person can sell their own primary residence (For Sale By Owner) without being licensed. Any time licensees sell property they own or have interest in, they have to disclose their license status to the buyer in writing before the purchase offer is signed.

§339.22315

If licensees want to purchase a property or interest in a property, they have to disclose in writing that they are licensees before the purchase agreement is signed. This disclosure must be made available to the Department of Licensing and Regulatory Affairs, when required. Net service agreements (net agreements) are prohibited.

§339.2518

No disciplinary action against the licensee can result from not disclosing that a former resident or owner of a property was suspected of having a disability or property that could be considered stigmatized by events such as homicide, suicide, or illegal activity (but that didn't affect the material condition of the property). Also, no disciplinary action can be brought against a licensee who didn't disclose a property was formerly owned or occupied by a sex offender.